THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

GARDA PROPERTY GROUP (ASX: GDF) PROPERTY PORTFOLIO SALE AND FY27 GUIDANCE UPGRADE | ASX ANNOUNCEMENTS
RELEASED 22 OCT 2026

Garda lines up A$350.8m sale of all nine properties and lifts FY27 guidance to 12.5 cps

Garda Property Group has contracted to sell its seven remaining investment properties to a Charter Hall managed fund for A$300.0m. With the earlier Heathwood and Pinkenba sales (A$50.8m), gross proceeds across all nine properties are A$350.8m, about 1.4% below their A$355.9m carrying value. Garda also raised FY27 guidance and says its Board currently intends to pay special distributions of about 10.0 cents per security.

A$350.8m	12.5 cps	~10.0 cps	A$321.0m
Gross sale proceeds	**FY27 FFO guidance**	**Intended special dist.**	**Investable capital**
Nine properties	Guidance, up from 10.5 cps	Board intention only	Pro forma estimate

WHAT WAS ANNOUNCED

1 The sale

A Charter Hall fund buys seven properties for A$300.0m. Heathwood (A$17.5m) and Pinkenba (A$33.3m) were announced on 29 and 28 September 2026. Settlements are expected between November 2026 and March 2027.

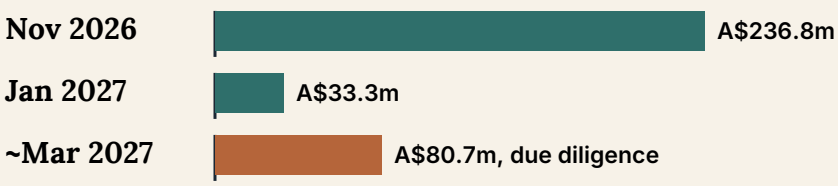
2 What is firm and what is not

Six Charter Hall properties (A$219.3m) are unconditional and due to settle on 20 November 2026. Morningside (A$80.7m) is still subject to due diligence, with settlement around March 2027. Heathwood and Pinkenba became unconditional on 19 and 14 October. In total A$270.1m of A$350.8m (77%) is unconditional.

3 Where the money goes (pro forma)

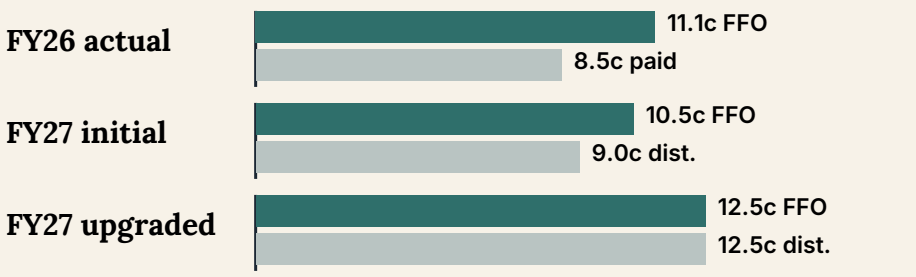
Garda expects to repay its syndicated debt facility in full (currently drawn A$185.3m), reach 0% gearing and hold about A$176.6m of surplus cash. With A$144.4m of existing loan receivables that is about A$321.0m to invest (company estimates).

WHEN THE A$350.8M IS EXPECTED TO SETTLE



Nov: six Charter Hall properties plus Heathwood. Jan: Pinkenba. Orange: not yet unconditional.

FFO AND DISTRIBUTIONS PER SECURITY (CENTS)



FY26 actual is reported. FY27 bars are company guidance. FFO = funds from operations.

What the company does. Garda is a Brisbane-based group that provides real estate lending and owns industrial property in South East Queensland.

Sources: Garda Property Group ASX announcements dated 21 Oct 2026 and released 22 Oct 2026 (Sydney): "$300 million portfolio divestment and guidance upgrade" (ASX 03155569) and "Capital gains tax and 10 cps special distribution" (ASX 03155570); Garda announcements of 28 and 29 Sep and 14 and 19 Oct 2026; Appendix 4E and Annual Results Presentation, 30 Jul 2026. A$ unless stated. Share price moves are not used in this report.

Why it matters: the next chapter depends on how about A$321m is put to work

Garda says real estate lending is expected to be its primary use of capital in the medium term. It also lists security buybacks and selective direct property investment, and keeps the capability to own or develop property.

KEEP THESE APART: REPORTED, GUIDED, INTENDED

Reported or contracted
Sale prices and contract status. FY26 actual FFO 11.1 cps, distributions 8.5 cps, payout 77.0%. FY26 NTA A$1.64 per security.

Company guidance
FY27 FFO 12.5 cps and distributions 12.5 cps, a payout target of about 100%. Subject to earlier assumptions and the sales completing broadly on timetable.

Board intention or estimate
Special distributions of about 10.0 cps (7.3 cps Dec 2026 quarter, 2.7 cps Mar 2027 quarter), subject to settlement, tax calculations, cash reserves and Board approval.

THREE RELATIONSHIPS WORTH KNOWING

1 Higher guidance, smaller earnings base

Garda must show the effect of the sales on its FY26 audited figures (pro forma, illustrative). The announcement does not bridge these numbers to the higher FFO guidance.

	FY26	After sales	Change
Annual revenue	A$49.0m	A$20.9m	-57.3%
EBITDA	A$27.1m	A$16.0m	-41.0%
Profit before tax	A$24.5m	A$7.9m	-67.5%
Total assets / equity	A$500.6m / A$329.9m	A$336.0m / A$326.7m	-32.9% / -1.0%

2 A higher payout, and a different kind of income

Garda says distributions will no longer include tax-advantaged income from property tax depreciation benefits, so it intends to distribute substantially all FFO. FFO guidance rose 19% but distribution guidance rose 39% because the payout moves from 86% (9.0 / 10.5) to 100% (12.5 / 12.5), our calculation. The ~10.0 cps special distribution relates to an estimated net capital gain of 20.8 cps; about 74% of that gain is expected to be attributed by December 2026.

3 Price versus value

Garda quotes pro forma NTA of A$1.56 per security, 52% above the A$1.025 close on 20 October 2026 (company figure). Reported FY26 NTA was A$1.64 and the release does not reconcile the two. For scale, 10.0 cps is about 9.8% of A$1.025 (our calculation), and remains an intention, not a declared distribution.

WHAT TO WATCH

Morningside
A$80.7m (23% of proceeds) is still subject to due diligence; settlement is expected around March 2027.

Settlement dates
20 Nov 2026 for A$236.8m; 22 Jan 2027 for Pinkenba.

Special distribution
Final amount, timing and Board approval.

Deployment
No timetable or target return is given for the A$176.6m. FY26 average loan return was 20.1% a year (reported).

TAR TAKE

Garda is changing from a property owner into a cash-rich allocator of capital. The firm part is the sales: 77% of proceeds is already unconditional, at close to carrying value. What still has to be shown is what the redeployed money earns, and how FY27 guidance of 12.5 cps fits with a much smaller pro forma earnings base. This is TAR's interpretation, not a company statement.

Sources: Garda ASX announcements dated 21 Oct 2026, released 22 Oct 2026 (Sydney): ASX 03155569 and 03155570; Garda announcements of 28 and 29 Sep and 14 and 19 Oct 2026; ASX Pause in Trading, 21 Oct 2026; Appendix 4E and Annual Results Presentation, 30 Jul 2026. Pro forma and per-security figures are company estimates. TAR calculations: growth = (new / old - 1) x 100; A$270.1m = 219.3 + 17.5 + 33.3; 77% = 270.1 / 350.8. cps = cents per security. A$ unless stated. General information only. Not financial advice.